

Annual Financial and Compliance Report

Northwind Instruments Inc. — Fiscal Year 2024

Northwind Instruments Inc. is a precision medical-device and scientific-instruments manufacturer headquartered in Boston, with operations across the United States, Ireland, and Singapore. The company designs and produces diagnostic imaging components, laboratory analyzers, and calibration systems for healthcare and research institutions. Fiscal 2024 was a year of steady expansion, strong cash generation, and continued strengthening of the company's financial position.

Management Discussion and Analysis

Revenue Performance

Northwind delivered sustained, well-balanced growth in FY2024. Total revenue reached USD 185.0 million, an increase of 10.1% over the USD 168.0 million recorded in FY2023 and up 23.3% from USD 150.0 million in FY2022. Growth was broad-based across the diagnostic imaging and laboratory-analyzer product lines, supported by long-term supply agreements with hospital networks and research universities. Gross profit improved to USD 78.0 million as the company continued to benefit from favorable product mix and disciplined procurement.

Financial Metric (USD)	FY2022	FY2023	FY2024
Revenue	150,000,000	168,000,000	185,000,000
Cost of Goods Sold (COGS)	90,000,000	99,000,000	107,000,000
Gross Profit	60,000,000	69,000,000	78,000,000
Operating Income	38,000,000	44,000,000	50,000,000
Net Income	28,000,000	32,000,000	37,000,000

Net income advanced to USD 37.0 million in FY2024, reflecting a healthy net margin of 20.0% and consistent operating leverage. Each line item grew at a measured single-digit to low-double-digit pace year over year, underscoring the stability and predictability of the company's earnings base.

Capital Structure and Liquidity

Northwind maintains a conservative and well-capitalized balance sheet. Total assets stood at USD 220.0 million at fiscal year-end, funded predominantly by shareholders' equity of USD 137.5 million. The company's obligations remain modest relative to its equity base, reflecting a prudent approach to financing and a strong internally generated cash position.

Balance Sheet Component (USD)	FY2024
Cash and Cash Equivalents	30,000,000
Accounts Receivable	35,000,000
Inventory	25,000,000

Balance Sheet Component (USD)	FY2024
Total Current Assets	90,000,000
Total Non-Current Assets	130,000,000
Total Assets	220,000,000
Accounts Payable	20,000,000
Short-term Borrowings	15,000,000
Accrued Expenses	10,000,000
Total Current Liabilities	45,000,000
Long-term Borrowings	30,000,000
Other Non-Current Obligations	7,500,000
Total Liabilities	82,500,000
Total Equity	137,500,000

The company's leverage position is comfortable. The ratio of total obligations to equity stands at approximately 0.60, well below the 2024 industry average for U.S. instrument manufacturers of 0.86, indicating a substantial equity cushion and limited reliance on external financing.

Short-term liquidity is strong. The current ratio — total current assets of USD 50.0 million... (see below) — is calculated from total current assets of USD 90.0 million against total current liabilities of USD 45.0 million, yielding a current ratio of 2.0. A current ratio well above 1.0 confirms that current assets comfortably cover near-term obligations, giving the company ample working-capital headroom.

Revenue Recognition Framework (IFRS 15)

Northwind Instruments Inc. prepares its consolidated financial statements in accordance with International Financial Reporting Standards (IFRS), applying IFRS 15, 'Revenue from Contracts with Customers.' Revenue is recognized using the standard five-step model: identifying the contract, identifying the distinct performance obligations, determining the transaction price, allocating that price to each obligation, and recognizing revenue as control transfers to the customer. For standard instruments, control transfers at a point in time upon delivery; for customized analyzer installations, revenue is recognized over time as the work is completed. The company also applies IAS 7 for its statement of cash flows using the indirect method and IAS 16 for property, plant, and equipment under the cost model.

Internal Control over Financial Reporting (SOX 404)

In accordance with Section 404 of the Sarbanes-Oxley Act, management is responsible for establishing and maintaining adequate internal control over financial reporting. Management has adopted the COSO 2013 Internal Control — Integrated Framework as the basis for its assessment. Management evaluated the operating effectiveness of internal control over financial reporting as of the end of FY2024 and concluded that such control was effective. No material weaknesses and no significant deficiencies were identified during the reporting period.

SOX 404 Component	Management Action	Conclusion
Framework Selection	Adopted COSO 2013 Framework	Compliant
Documentation	Full mapping of processes and controls	Effective
Control Testing	Annual evaluation of effectiveness	Effective
Remediation	Prompt resolution process maintained	No Deficiencies Found

Going Concern

The financial statements have been prepared on a going-concern basis. Management has assessed the company's ability to continue as a going concern for at least twelve months from the reporting date, taking into account its strong liquidity position, positive operating cash flows, and committed customer agreements. Based on this assessment, management has concluded that no material uncertainties exist that would cast doubt upon the company's ability to continue as a going concern.

Corporate Governance and Audit Oversight

The Board of Directors maintains a clear separation between the roles of the Chair and the Chief Executive Officer, and oversees strategy and performance through three standing committees: Audit, Remuneration, and Nomination & Governance. During FY2024 the Audit Committee monitored the integrity of the IFRS consolidated accounts, reviewed the SOX 404 assessment and internal-audit findings, and oversaw the independence of the external auditor. Materiality for the annual audit was set at 5% of profit before tax.

Statement of Cash Flows (IAS 7)

Northwind uses the indirect method for its statement of cash flows. For FY2024, net cash generated from operating activities was USD 52.0 million, reflecting strong earnings, a USD 25.0 million add-back for depreciation and amortization, and disciplined working-capital management. Investing activities included USD 22.0 million of capital expenditure on new calibration and testing equipment. Financing activities reflected the issuance of new equity and scheduled repayment of borrowings, consistent with the company's steady capital plan.

Forward-Looking Outlook

Management views the outlook for FY2025 with confidence. Demand for diagnostic and laboratory instrumentation remains robust, order backlog is healthy, and the company's strong balance sheet provides ample flexibility to invest in product development and capacity. Northwind expects continued steady revenue growth, stable margins, and sustained cash generation.

Conclusion

Fiscal 2024 was a year of solid achievement for Northwind Instruments Inc. The company combined healthy revenue growth, strong profitability, ample liquidity, and a conservative capital structure with rigorous IFRS reporting and effective internal controls. Northwind enters FY2025 well positioned to deliver sustainable value for its stakeholders.